

21 April 2025

First Quarter 2025 Investor Letter

Dear Accumulus Investor,

The following table shows our USD performance for Q1 2025 as well as returns since inception, net of fees. We compare this with the performance of indices of hedge funds and traditional asset classes. Information about non-USD share classes is available upon request.

	Jan-25	Feb-25	Mar-25	Q1 2025	YTD 2025	Annualized Return	Annualized Volatility	Sharpe Ratio
Accumulus Fund LP	1.19%	0.97%	0.32%	2.50%	2.50%	7.00%	4.54%	1.20
Accumulus Fund - USD Class	1.21%	0.95%	0.43%	2.61%	2.61%	6.90%	3.22%	1.77
Accumulus Fund AIF - USD Class	1.24%	0.91%	0.53%	2.71%	2.71%	7.80%	2.50%	1.31
HFRI Fund of Funds Composite Index	1.34%	-0.50%	-1.46%	-0.64%	-0.64%	3.71%	4.99%	0.45
MSCI World Gross TR Index	3.55%	-0.69%	-4.40%	-1.68%	-1.68%	8.07%	15.44%	0.48
High Yield Corporate Bond ETF (HYG)	1.36%	0.97%	-1.08%	1.24%	1.24%	6.05%	9.68%	0.50
Bloomberg Global Aggregate Bond Index	0.57%	1.43%	0.62%	2.64%	2.64%	3.18%	6.10%	0.27
1-Month US Treasury Bill	0.35%	0.35%	0.35%	1.06%	1.06%	1.53%	0.50%	N/A

Accumulus Fund LP returns shown are those of Class A USD interests. Performance data for Accumulus Fund LP and all indices are shown since the inception of the Accumulus Fund LP (9/1/2001). Returns for Accumulus Fund (USD) and Accumulus Fund AIF are shown since their inception dates of 7/1/2009 and 6/1/2022. The High Yield Corporate Bond ETF (HYG) was launched on 5/2007 and returns from 9/2001 to 4/2007 are those of the CSFB High Yield II Index. The risk-free rate used to calculate the Sharpe Ratio is the prevailing 1-Month US Treasury Bill.

Performance Review & Attribution

Three weeks into April the first quarter seems like an eternity ago. “Liberation Day” created havoc in markets and huge uncertainty for most economic actors. At the time of writing, our funds are experiencing a negative month (approx. -1%), but only a small fraction of the losses seen in equity markets this month.

In Q1 we delivered three positive months despite equity markets struggling in February and March. Only four out of our twenty-four managers had a negative first quarter with the biggest loser costing us 10bps. Together, the ‘losing four’ contributed -16bps. In contrast, our four biggest winners contributed +164bps. All strategies were positive. Credit long/short, convertible arbitrage, Agency mortgages and event-driven all performed strongly. Only structured credit and equity long/short lagged somewhat.

Are we Entering a Bear Market?

Five years ago, in our Q2 2020 investor letter, we cautiously predicted a “new golden age for hedge funds”, possibly matching the 2000-2002 period when hedge funds performed strongly despite a very challenging market and economic environment. We were right regarding hedge funds. They performed well, driven by higher volatility and elevated interest rates. Hedge fund performance over the last five years was significantly higher than in the ten preceding years.¹ We were also right about one traditional asset class, namely bonds: In the five years ended 3/31/2025 the Bloomberg Global Agg Bond Index returned -1.39% per annum. What we did not foresee was that

¹ In the period 2020-2024, hedge fund returns increased from 4.8% to 9.3%, according to [a report](#) by Goldman Sachs. In contrast, traditional 60/40 returns fell from 6.1% to 5.5%. To the end of 2024, hedge funds had outperformed 60/40 portfolios on a one, three, and five-year absolute basis. Source for hedge fund returns: PivotalPath. For 60/40: 60% MSCI World NR USD + 40% Bloomberg Barclays Global Aggregate TR USD.



the last five years would be an absolute bonanza for equities, especially US equities. The S&P 500 returned 18.6% per annum over the last five years, one of the best five-year runs for stocks in recorded history.

On October 25th, 2024, partly in jest, Sam Wood's weekly note (link [here](#)), called for a market 'top' at 5,826.75 in the S&P 500 Index. While the market rose another 10% through the end of January on the theme of US exceptionalism and 'Trump euphoria' (remember that?), we are now more than 10% below the level of late October. Will US stocks continue to decline from here? While we think the odds favor a bear market unfolding in US stocks due to economic uncertainty and higher future risk premiums, at Accumulus we do not need to definitively answer that question. In the last five years of strongly rising US stocks, we have done just fine, and we expect to perform at similar levels should a bear market take hold.

A New World? Where does that leave Hedge Funds?

There is little doubt in our minds that we are living in a new world where some developed markets are behaving and performing like emerging markets and where policies are shifting from pro-capital to pro-labor. Rising Gold prices are a testament to this uncertainty. Our hedge funds do not engage in directional market calls but strive to protect capital and benefit from dislocated asset prices with near-term catalysts that resolve such mis-pricings. That is not to say that avoiding losses and compounding capital above the risk-free rate will be easy, but we believe that our managers are equipped with the skills, flexibility and temperament to handle those tasks and the challenges that lie ahead.

Thank you for your trust in Accumulus. Please don't hesitate to get in touch should you have any questions or thoughts.

Yours sincerely,

Accumulus Capital Management LLC

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